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Young Talent Program - AI in Finance

AI in Risk Management | September 2026

Agenda

Ref	Topics	Agenda items	Duration
Section I.	Introduction	▪ Introduction to speakers in the room	5 mins
Section II.	AI-enabled Management of Financial Risks	▪ How is AI used across the different pillars of financial risks? ▪ Which are the common AI design patterns applied? ▪ What are the underlying AI foundations required?	20 mins
Section III.	Overview of a Credit Memo	▪ What is the purpose of a credit memo? ▪ How is a credit memo prepared? ▪ What are the best practices for preparing a credit memo?	10 mins
Section IV.	Problem Statement Walkthrough	▪ Summary of the problem statement and the project description ▪ What are we looking for in the project?	10 mins
Section V.	Questions		15 mins

AI Ethics, Data Governance and Risk Management – Introduction of Speakers



Prinita Dadlani
Credit Officer Director

- Experience in Corporate credit coverage across Southeast Asia markets
- Focuses on credit review and approval of new transactions, and portfolio monitoring across industries



Tahir Zafar
Head of AI Strategy and Commercialisation, APAC

Extensive international financial services experience in:

- Global and regional AI strategy for capital markets & banking
- Enterprise AI adoption as well as data & technology transformation



Vivek Misra
Head of Data Strategy and Commercialisation, APAC

Extensive institutional banking experience in:

- Group-wide data strategy and commercialization in banking and other industry leaders
- Prior experience in managing risk for financial products across Asia



Lee Bo Xian
AI Strategy and Commercialisation, APAC

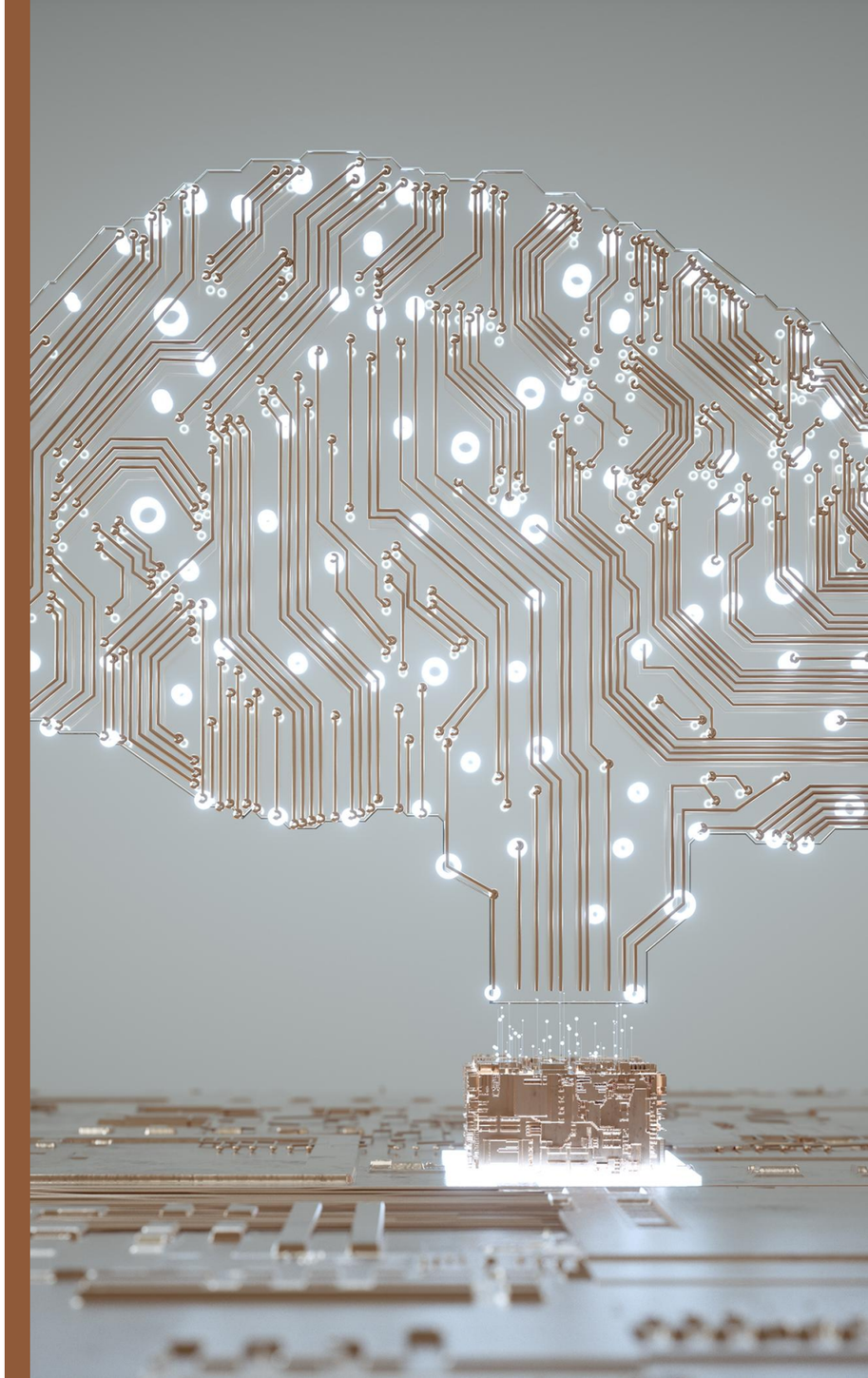
Deep experience in:

- AI strategy, governance, and use case enablement in banks
- Supported organisations in AI adoption roadmaps and AI risk literacy

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AI-enabled Management of Financial Risks

- How is AI used across the different pillars of financial risks?
- Which are the common AI design patterns applied?
- What are the underlying AI foundations required?



Evolution of capabilities that continually unlocks a new frontier of data and autonomy

Traditional AI/ML has been used in risk management for over 15 years, and it is still in use today

~>80% of enterprise data is unstructured – GenAI potentially unlocks 4x of untapped intelligence

Rule-based Systems

- Follows explicit instructions
- Humans encode every rule by hand
- Limited to only known scenarios

Machine Learning & Analytics

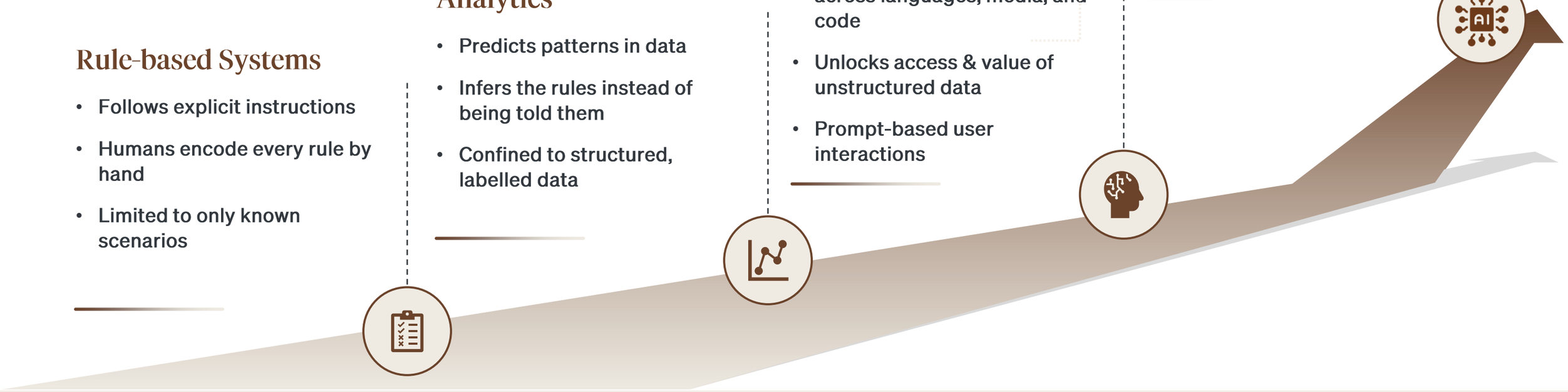
- Predicts patterns in data
- Infers the rules instead of being told them
- Confined to structured, labelled data

Generative AI

- Understand & generates across languages, media, and code
- Unlocks access & value of unstructured data
- Prompt-based user interactions

Agentic AI

- Acts & decides towards defined goals
- Operates with limited human oversight
- Maturing in use – the current frontier



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AI is not a “silver bullet” with many solutions in highly-regulated environments leveraging the capabilities of both AI and traditional deterministic analytics/automation

AI Design Patterns

Generate
e.g. create marketing materials, generate synthetic data

Summarise & Distil
e.g. regulation/policy summariser, horizon scanning

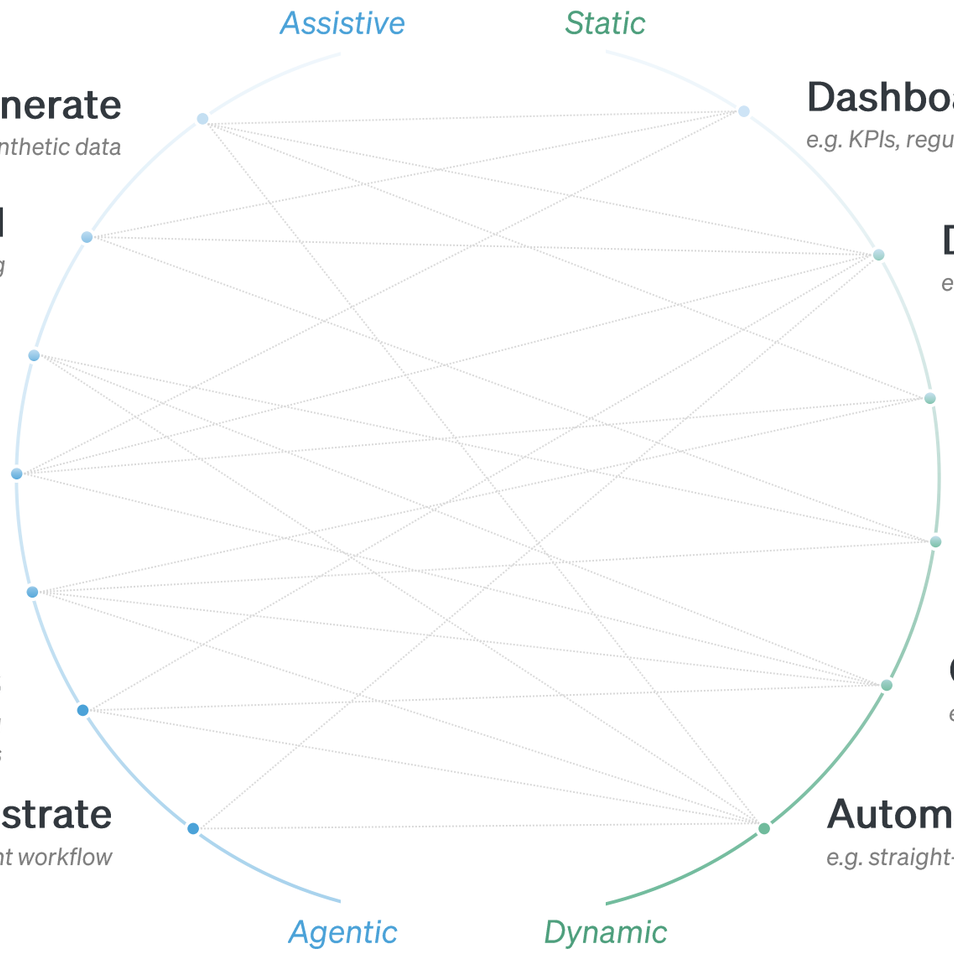
Extract & Classify
e.g. information extractor, issue triage

Converse & Assist
e.g. customer chatbot, regulatory Q&A copilot

Decisioning
e.g. facility limit decisioning, covenants design

Act with Tools
e.g. flag & escalate suspicious transactions based on reviewing trade & customer history databases

Orchestrate
e.g. coordinate AI agents within a multi-agent workflow



Traditional analytics/automation capabilities

Dashboard & Visualisation
e.g. KPIs, regulatory reports, BI scorecards

Diagnostic Analytics
e.g. root-cause analysis, variance/attribution, hypothesis testing

Prediction & Forecast
e.g. revenue forecasts, loss projections, demand planning

Classification & Ranking
e.g. credit scoring, fraud risk-rating, segmentation

Optimisation
e.g. portfolio allocation, pricing, next-best-product

Automation
e.g. straight-through processing, RPA, rule-based checks

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Illustrative examples of AI used in Risk Management

Value Drivers: Risk Reduction · Faster Decisioning · Operational Efficiency · Revenue Generation

Market Risk

- **Market Loss Forecasting**
  AI estimates the financial impact of market movements against the banks' trading portfolio
  ▲ ~80% faster Value-at-Risk computation
- **Stress testing & scenario generation**
  AI creates realistic crisis scenarios (e.g. market crash, rate spike) to assess the financial impact on the bank
  ▲ Faster risk decisioning

Credit Risk

- **Credit scoring & default prediction**
  AI studies a customer's data to predict how likely they are to repay a loan
  ▲ ~40% faster approvals ▼ ~25% fewer defaults
- **Counterparty early warning**
  AI scans news and market data to identify early signs of clients potentially facing challenges with repayments
  ▲ Increased oversight – 80,000 articles scanned/day

Market Liquidity Risk

- **Liquidity forecasting**
  AI forecasts liquidity shortfall within the bank and provides early warning to replenish funds, as required
  ▲ ~99.3% forecast accuracy
- **Intraday liquidity & collateral optimisation**
  AI helps the bank move money and assets efficiently through the day, so payments always settle on time
  ▼ ~60% less counterparty exposure
  ▼ ~45% reduction in operational cost

Operational Risk

- **Real-time fraud detection**
  AI checks transactions as they happen and flags suspicious ones instantly, catching fraud that fixed rules may miss
  ▲ ~60% genuine fraud detection
  ▼ ~50% reduction in fraud losses
- **Predictive system maintenance**
  AI monitors the bank's apps, payments, and IT systems to flag or fix issues promptly
  ▼ ~27% reduction in annual operational losses

Legal & Regulatory Compliance Risk

- **Regulatory horizon scanning**
  AI scans new rules and regulatory updates to highlight the latest relevant developments and potential action items
  ▲ Faster reaction to new regulatory developments
- **Anit-Money Laundering (AML) monitoring**
  AI reviews transactions and networks to detect money-laundering patterns with fewer false alarms
  ▼ ~50% less false positives
  ▼ ~120,000 analyst hours reduced annually

Reputational Risk

- **Customer complaints management**
  AI monitors customer complaints to triage, contain, and investigate with root causes escalated to human agents for resolution
  ▼ ~90% reduction in response time
- **Media monitoring & narrative intelligence**
  AI monitors public media to escalate potentially negative news for the bank's investigation and management
  ▲ Increased oversight with 24/7 monitoring

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Effective AI implementation is underpinned by robust AI foundations



AI and Data Capabilities

- Generative AI & Agentic AI workflows
- Traditional AI/ML & Data analytics
- Business Intelligence & Data Visualisation
- Automated workflows

AI and Data Foundations

- **Data & AI Governance Frameworks**
  Aligned to regional standards and regulation
- **AI, Data, 3rd Party & Tech Risk Management**
  Data + MLOps lifecycle: build, deploy, monitor, retrain
- **Responsible & Explainable AI use**
  Transparent, auditable outputs; know why a conclusion was reached
- **Agent-ready codifying of business context**
  Self-describing data with schema, definitions, access & freshness

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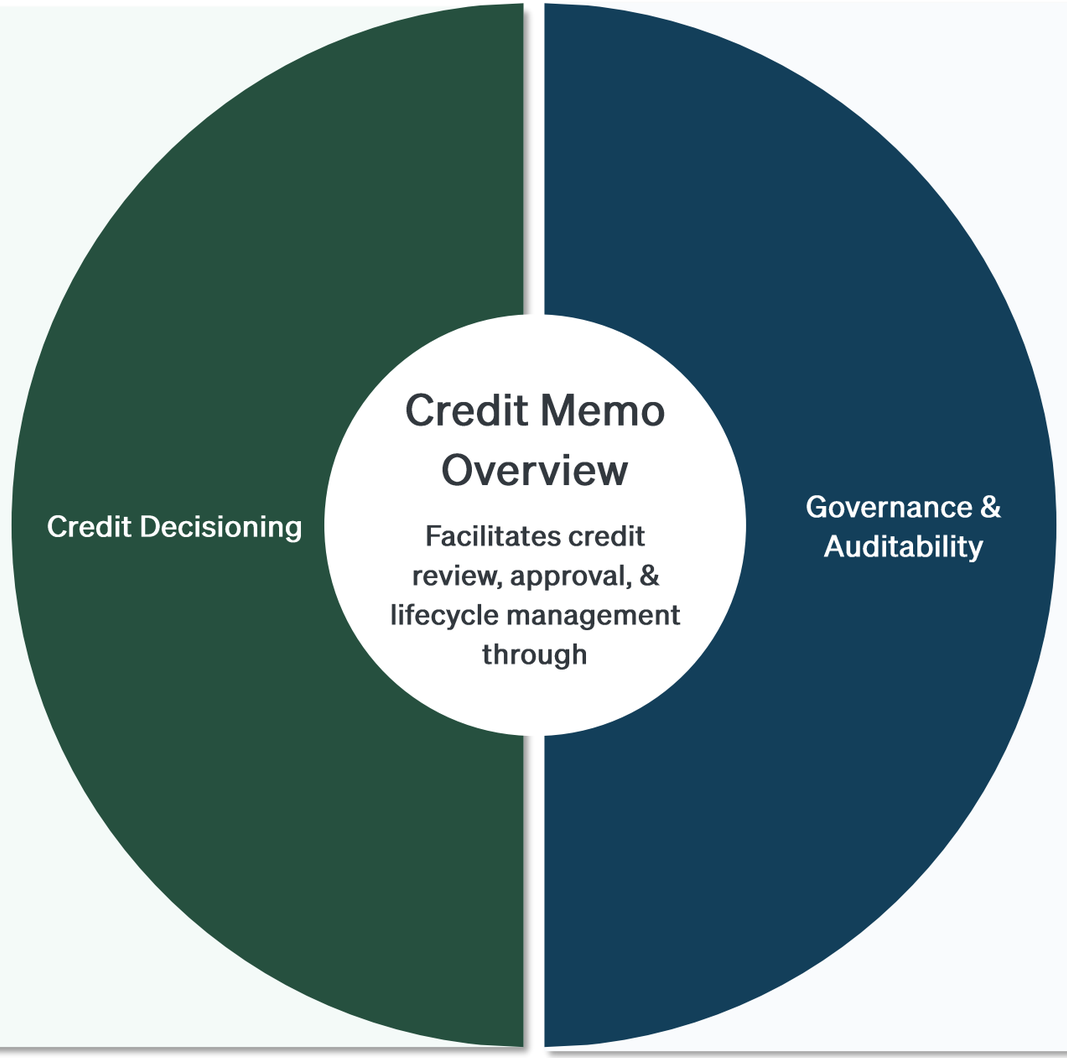
Overview of a Credit Memo

- What is the purpose of a credit memo?
- How is a credit memo prepared?
- What are the best practices for preparing a credit memo?



Introduction to credit memos – what is the purpose?

- Provides the credit analysis of the borrower and its repayment capacity through the assessment of the its business, industry, financials, risks & mitigants, other aspects
- Lays out structural aspects of the exposure profile, terms and conditions (e.g. collateral, covenants, and so on)
- Summarised key rating considerations
- Documents the ongoing review and monitoring for the client, including potential identification of early warning indicators



- Formal documentation of credit analysis and decisioning as laid out above (including for approval purposes)
- Establishes audit trail across relevant stakeholders (e.g. internal audit, regulators, as applicable)

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How is a credit memo prepared?

Generic Credit Lifecycle

1. Client Origination & Onboarding
2. Credit Evaluation & Approval
3. Documentation & Disbursement
4. Ongoing Monitoring

A. Credit Evaluation & Structuring

Business Overview
– "Who are they?"

Borrower's profile on:

- Ownership
- Corporate Structure
- Management
- Industry
- Competitive Position
- Relationship History
- ...

Financials Overview
– "Can they repay?"

- Operating performance
- Cash-flow Analysis
- Debt-service Coverage
- Leverage / gearing
- Projections / stress tests
- Liquidity assessment
- ...

Risk Mitigation & Structuring
– "How do we structure to protect the bank?"

- Loan structure & terms
- Collateral analysis
- Covenants & guarantees
- Purpose of facility
- Structural risks / mitigants
- Facility rating
- ...

B. Credit Memo Generation

Draft Credit Memo

Executive Summary | Borrower's Profile | Facility Structure | Risk Register | Recommendation

C. Credit Approval

Seek approval per internal policies and procedures

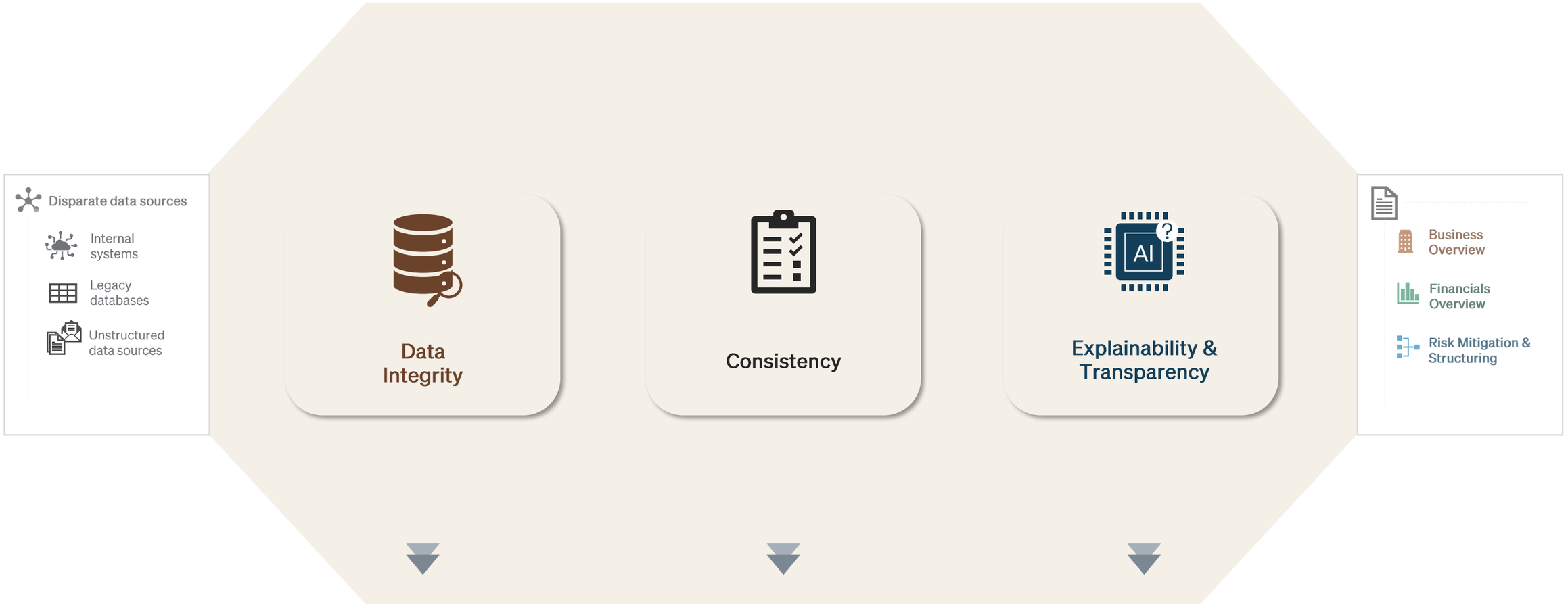
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Best practices for credit memo preparation



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Best practices for credit memo preparation



Augmented with AI

Huge potential to augment these practices with a combined use of AI design patterns and traditional analytics/automation techniques

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Problem Statement Walkthrough

- Summary of the problem statement and the project description
- What are we looking for in the project?



Overview of the problem statement and project description

Background

Preparing credit memos requires analysts to collate from multiple sources into a complete, consistent, and evidence-backed memo by:

- transforming **various fragmented information sources** into a coherent credit narrative
- ensuring key conclusions are **evidence-backed** and appropriately caveated
- identifying **missing information, unsupported claims**, and **financial inconsistencies**
- assessing **key credit risks, mitigants, repayment capacity**, and **proposed facility terms**

With AI's evolving capabilities, banks are actively exploring how AI can be used to enhance the process.

Project Description

Develop a solution to aid the credit memo generation by sourcing and synthesizing the **borrower's business and financials overview.** Thereafter, generate a draft of the **recommended structuring** based on risk register & mitigants.

These overviews and recommendation must be **explainable, defensible** to a credit committee, and **reproducible** at scale.

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So, what are we looking for in your project?

AI-enabled solution

Content Development

Business Overview

"Who are they?"

Financials Overview

"Can they repay?"

Risk Mitigation & Structuring

"How do we structure to protect the bank?"

Validated & Defensible Outputs

- Evidenced use of verified information sources
- Validated outputs with identified human-in-the-loop checks required
- Ensure outputs are explainable & defensible to credit approvers/ regulators

Reproducible at scale

- Solution can be repeated across multiple organisations/scenarios, displaying the ability to use at scale

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Thank you, questions?